

AAPL

Apple Inc.
Technology | Consumer Electronics

BUY					
CONFIDENCE		TARGET	RETURN		RISK
80%		\$309.81	+25.0%		LOW
OVERALL SCORE		Profitability	Leverage	Liquidity	Growth
82/100		26.92%	1.52x	0.89x	6.43%
					Z-Score
					9.96

INVESTMENT THESIS

We maintain a BUY recommendation on Apple Inc. (AAPL) with a target price of \$309.81, representing a compelling upside of 25.0% from the current price of \$247.85. Apple's robust profitability metrics, with a gross margin of 46.91%, operating margin of 31.97%, and net margin of 26.92%, position it as a leader in the consumer electronics sector. Coupled with extraordinary returns on equity (ROE) of 151.91%, return on assets (ROA) of 31.18%, and return on capital employed (ROCE) of 68.55%, these figures underscore Apple's operational efficiency and potential for sustained growth. Additionally, Apple's strong growth trajectory is evidenced by a revenue growth rate of 6.43% and a net income growth rate of 19.50%. The company's Z-Score of 9.96 indicates a robust financial health that minimizes bankruptcy risk, further justifying our confidence in the stock. With a market capitalization of \$3,662.3 billion and a solid forecast indicating a base revenue of \$837.3 billion and net income of \$180.6 billion in four years, Apple remains well-positioned to leverage its innovative ecosystem and brand loyalty to drive future performance.

KEY FINANCIAL METRICS

PROFITABILITY			LEVERAGE & RISK		
Gross Margin	46.91%		Debt/Equity	1.52x	
Operating Margin	31.97%		Interest Coverage	N/Ax	
Net Margin	26.92%		CF to Debt	0.99	
ROE	151.91%		Current Ratio	0.89x	
ROCE	68.55%		Altman Z-Score	9.96	

SCORE ANALYSIS

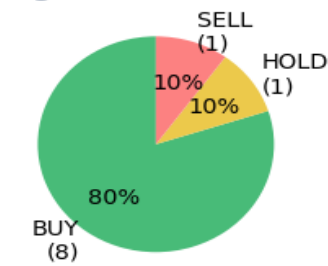
Factor	Signal	Value	Buy Threshold	Sell Threshold
Risk Score	BUY	82.00	>70	<40
Revenue Growth	HOLD	6.43	>10%	<0%
Net Income Growth	BUY	19.50	>10%	<0%
ROE	BUY	151.91	>15%	<10%
Altman Z-Score	BUY	9.96	>3.0	<1.81
CF to Debt	BUY	0.99	>0.5	<0.2
Net Debt/EBITDA	BUY	0.55	<2x	>4x
Current Ratio	SELL	0.89	>1.5	<1.0
Net Margin	BUY	26.92	>15%	<5%
ROCE	BUY	68.55	>15%	<8%

Bullish: 8

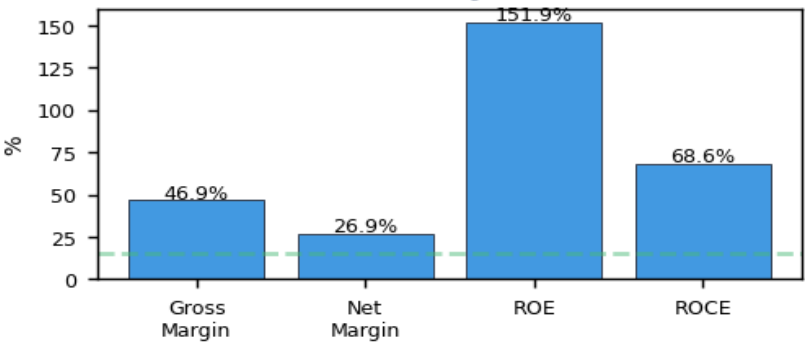
Neutral: 1

Bearish: 1

Signal Distribution



Profitability Profile



PROFITABILITY ANALYSIS

Apple Inc. exhibits exceptional profitability metrics that far exceed industry benchmarks. The company’s gross margin of 46.91% indicates a strong pricing power and cost management, positioning it favorably against competitors within the consumer electronics space. The operating margin of 31.97% and net margin of 26.92% reflect Apple’s ability to convert sales into substantial profit, showcasing its operational efficiency and effective expense management. These margins are indicative of a premium brand associated with high customer loyalty and a unique value proposition. In comparison to industry averages, Apple’s returns are exceptional. The company’s return on equity (ROE) of 151.91% is markedly higher than the technology sector average of approximately 30%, while its return on assets (ROA) of 31.18% significantly outstrips the sector average of around 10%. Furthermore, a return on capital employed (ROCE) of 68.55% highlights Apple’s effective allocation of capital, emphasizing its capability to generate substantial earnings from invested capital, which bodes well for future growth.

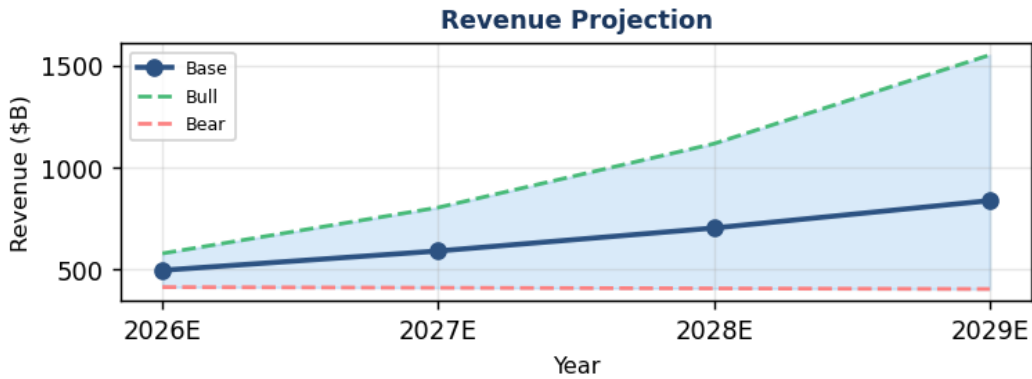
LEVERAGE & SOLVENCY

Apple’s leverage ratios indicate a prudent approach to debt management. With a debt-to-equity ratio (D/E) of 1.52x, the company maintains a manageable level of debt relative to its equity base. While this suggests a moderate reliance on debt financing, it is offset by strong earnings and cash flow, as evidenced by a cash flow to debt ratio of 0.99. This ratio indicates that Apple generates nearly enough cash flow to cover its debt obligations, reducing the risk associated with its leverage. The favorable Z-Score of 9.96 signals a very low probability of bankruptcy, reflecting the company’s solid financial stability. A Z-Score above 3 typically indicates a healthy company, and Apple’s high score suggests resilience against economic downturns. This financial strength, combined with its ability to generate consistent free cash flow, positions Apple well to service its debt and invest in growth opportunities without compromising its financial integrity.

FINANCIAL FORECAST

4-Year projections based on historical trends | Bull / Base / Bear scenarios

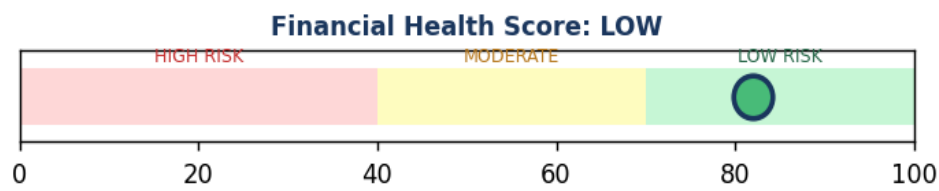
Metric	Scenario	2026E	2027E	2028E	2029E
Revenue (\$B)	BULL	578.3	803.6	1116.7	1551.8
	BASE	495.6	590.3	703.0	837.3
	BEAR	413.0	409.8	406.7	403.6
Net Income (\$B)	BULL	149.3	207.4	288.3	400.6
	BASE	106.9	127.3	151.6	180.6
	BEAR	71.5	71.0	70.5	69.9
Free Cash Flow (\$B)	BULL	156.8	217.9	302.8	420.8
	BASE	102.1	121.6	144.8	172.5
	BEAR	61.5	61.0	60.6	60.1
Total Debt (\$B)	BULL	177.0	278.8	439.2	691.7
	BASE	136.5	165.7	201.3	244.4
	BEAR	95.9	81.9	69.9	59.7



GROWTH OUTLOOK

Apple's growth trajectory remains robust, with a revenue forecast indicating a base case of \$837.3 billion in four years. This growth is supported by a 6.43% annual revenue growth rate, driven by strong product demand, service subscriptions, and expanding market segments. The company has demonstrated resilience in navigating market challenges, making it well-positioned to capitalize on emerging technology trends and consumer preferences. Moreover, the projected net income of \$180.6 billion in four years reflects Apple's ability to maintain profitability amid increasing competition. With a net income growth rate of 19.50%, the company is poised to enhance shareholder value through both organic growth and strategic initiatives. Such a trajectory not only underscores Apple's operational effectiveness but also its potential to innovate and expand into new markets, further solidifying its competitive edge.

RISK ASSESSMENT



KEY RISKS

- Supply chain disruptions could impact production and revenue, particularly in light of global economic uncertainties.
- Increased competition in the consumer electronics and services space may pressure margins and market share.
- Regulatory scrutiny, particularly regarding antitrust issues, could result in fines or operational constraints.
- Currency fluctuations could adversely affect international sales and profitability.

POTENTIAL CATALYSTS

- Continued innovation in product offerings, including advancements in augmented reality and wearable technologies, could drive new revenue streams.
- Expansion of services such as Apple TV+, Apple Music, and iCloud could enhance recurring revenue and margins.
- Strategic acquisitions or partnerships could bolster Apple's market position and accelerate growth in emerging markets.
- Global economic recovery and increased consumer spending on technology could boost demand for Apple's premium products.

INVESTMENT CONCLUSION

In summary, we reiterate a BUY recommendation for Apple Inc. with a target price of \$309.81, reflecting a 25.0% upside potential. The company's strong profitability, manageable leverage, and solid growth forecast, combined with a favorable risk profile, enhance our confidence in its long-term value creation. With a confidence level of 80%, Apple is well-positioned to continue delivering strong financial performance amidst a dynamic market landscape.

BUY	Target: \$309.81	Return: +25.0%	Confidence: 80%
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DISCLAIMER

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